



Venus Remedies Ltd (VENUSREM)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID — DON'T CHASE

CMP

₹1,411

52W H / L

₹1,414 / ₹415

MKT CAP

₹1,886 Cr

P/E (TTM) VS SECTOR

18.4x vs ~30x
pharma

ROE / ROCE

16.8% / 21.7%

PROMOTER (Δ,
PLEDGE)

41.76% · 0%
pledged

FII / DII

2.79% / 1.2%

BETA

Elevated
(microcap) ·
N/A

ADV

Low — thin
float
(verify)

NET DEBT

Net cash (₹12
Cr debt vs
₹153 Cr
MF/FD)



PRIMARY CATALYST — THE REASON IT MOVES NOW

A structural margin re-rating: Q4 FY26 delivered record ₹259 Cr revenue with EBITDA margin leaping to 24.4% (+~960 bps YoY) and PAT up 126% — debt-free, cash-rich. The swing question is whether this new margin base holds into Q1 FY27, or the parabolic +204% one-year run mean-reverts off the all-time high.

CATEGORY

Financial inflection

QUANTIFIED IMPACT

EBITDA margin
14.9%→24.4%; FY26 PAT
₹103 Cr (+89% YoY); re-
rated ~10x→18x P/E

PROBABILITY

M (margin durability
unproven)

WINDOW

Confirmation at Q1 FY27 ·
~early Aug 2026

Priced in? Largely. The margin step-up and debt-free balance sheet are reflected after a 204% 12-month run to an all-time high (₹1,414). What is NOT priced: sustained 24%+ EBITDA into FY27 and a continued global-approval cadence — that is the bull's residual upside; any wobble re-rates hard. · Source: Q4/FY26 results filing & coverage, 26-27 May 2026 (BSE/MarketsMojo/Tradebrains)

BULL

₹1,560-1,620

+11-15%: breakout holds, Q1 confirms
~24% margin, approval newsflow
continues.

BASE

₹1,250-1,420

Sideways digestion of the run; awaits Q1
FY27 proof before next leg.

BEAR

₹1,100-1,150

-18 to -22%: momentum unwind / gap-
fill if margins normalise or volume dries.

Excellent business, wrong entry timing. The fundamentals (record revenue, ~24% EBITDA, debt-free, net cash, maiden-scale ₹10 dividend) justify the re-rating — but a fresh swing-long at an all-time high after a 200%+ run carries poor risk/reward. Neutral stance: wait for the ₹1,250-1,300 breakout-retest, or Q1 FY27 proof, before committing.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Financial	Q1 FY27 results — margin durability test	Confirms/breaks 24% EBITDA base; sets re-rating ceiling	M	~early Aug 2026	Filing cadence
Product approvals	Rolling global marketing authorizations (oncology, antibiotics, critical care)	Incremental export TAM; UAE/Costa Rica/Gabon/Philippines added	H	Ongoing	Co. release, 05 Nov 2025
Policy	PLI incentive realization (FY24-25)	Secured 75% of eligible PLI — margin tailwind	H	Realised / ongoing	Co. comms, FY26
Capital action	Final dividend ₹10/sh + 37th AGM	~0.7% yield; first meaningful payout signals confidence	H	AGM 20 Aug 2026	Board reco, 26 May 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Mgmt change	Saransh Chaudhary elevated to Whole-Time Director	Generational shift; R&D continuity — qualitative	H	Effected May 2026	Board, 26 May 2026
Ownership	Promoter merger: Sunev → Spine (17.21% stake transfer)	Restructuring; neutral, watch related-party optics	M	Scheme pending effect	Disclosure, 02 Mar 2026
R&D pipeline	Novel antibiotic-resistance / oncology research optionality	Long-dated; not in base numbers — qualitative	L	Multi-year	Co. profile
Technical	At all-time high ₹1,414, +204% 1yr — extended; momentum strong but stretched, no overhead supply.	Trend intact; pullback risk high near ATH	M	Now	Price action

WHAT THE STREET IS PRICING IN

Formal sell-side coverage is **thin** on this ₹1,886 Cr microcap — no broad consensus FY27/FY28 EPS or institutional target set (N/A). The move has been **retail/PMS-momentum-driven** on the earnings inflection. **IN the price:** the FY26 margin step-up, debt elimination and PLI tailwind. **NOT in the price:** proof that ~24% EBITDA is structural (not mix/one-off), a durable global-approval cadence, and any maiden institutional initiation that could re-rate liquidity. At 18.4× TTM the stock still trades below the ~30× small-cap pharma median — cheap-looking, but on a margin base the market hasn't yet seen repeat.

KEY LEVELS & TRADE FRAME

Entry zone	₹1,250–1,300 (on pullback — don't chase)
Stop (below post-result base / ~50-DMA, approx)	₹1,150
Target 1 / Target 2	₹1,410 / ₹1,560
R:R · suggested size	~1.1:1 (T1) / 2.3:1 (T2) · ≤1-1.5% capital

Levels approx — verify on chart (no live DMA feed). Microcap: size small, use limit orders.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Momentum unwind at ATH	Any growth wobble after +204% run	-20 to -30%	H
Margin/earnings miss	24% EBITDA proves mix-led / one-off; PLI timing	-15 to -20%	M
Liquidity / microcap	Thin float — hard to exit size; gap moves	qualitative	H
Regulatory (export GMP)	USFDA/EU/CDSCO inspection or approval slip	-10 to -15%	M
FX / export concentration	INR swings; geo-exposure in emerging markets	-5 to -10%	L
Promoter restructuring	Sunev→Spine scheme execution / RPT optics	qualitative	L

CATALYST CALENDAR

DATE	EVENT
~Aug 2026	Q1 FY27 results — margin durability test
20 Aug 2026	37th AGM — ₹10/sh dividend approval, WTD ratification
Pending	Sunev→Spine promoter-merger scheme effectiveness
Ongoing	New global marketing-authorization announcements

AVOID

Strong business, unfavourable swing-entry timing: chasing an all-time high after a parabolic 200%+ run offers poor risk/reward at neutral bias. Prefer patience over price. **Flips the call:** a controlled pullback to the ₹1,250–1,300 breakout-retest that holds, OR Q1 FY27 confirming ~24% EBITDA — either turns this to TACTICAL LONG.

MPM · SCREEN — ANALYZE — INVEST

For information only. Not investment advice or a recommendation to buy/sell. Small/microcap — illiquid; figures from public filings & third-party vendors may be stale. Verify against latest exchange filings before acting.

Sources: Screener.in (CMP/valuation, fetched 03 Jun 2026); MarketsMojo, Tradebrains, BusinessUpturn, ScanX — Q4/FY26 results (26–27 May 2026); Trendlyne/ScanX — shareholding & 0% pledge (Apr 2026); Venus Remedies press release — global approvals (05 Nov 2025).

Generated 03 Jun 2026 · Not investment advice — verify against latest filings before acting.